

of national exports. According to the Udyam portal, a total of 45.6 million MSMEs are registered with the government, of which 44.8 million are micro enterprises, 706,000 are small, and just 67,378 are medium businesses. Together, they employ 198 million people.

Santosh Mehrotra, labour economist and retired professor of Jawaharlal Nehru University, notes that in recent years, informal sector enterprises have been affected by the trifecta of demonetisation, the introduction of the goods and services tax or GST (which sent the economy into a slowdown), followed by the nationwide lockdown due to the Covid-19 pandemic.

“The government has not released the survey results for 2019-20 and 2020-21, and one cannot assess the impact of demonetisation and GST on the informal sector,” Mehrotra says, adding that the sector is believed to have been severely impacted. “The data for 2021-22 shows that they were impacted by the lockdown, and they have continued to remain impacted, as can be seen from the number of workers that were employed, which remains low. The growth in the number of establishments has also slowed down,” he says.

Before these disruptions, he says, between 2010 and 2015 (the earlier points in time when the survey was conducted for which data was available for the number of unorganised enterprises and also workers), many more enterprises were set up and millions of more jobs were created. “By contrast, between 2015 and 2023, just a fraction of those units and jobs were created in the unorganised and MSME sectors. Clearly, the improvement between 2021-22 and 2022-23 is a mere fraction of the lost enterprises and jobs induced by the three shocks before the second Covid wave of 2021-22,” he says.

Besides, this is a vast space and MSME is an umbrella term that denotes anything from single-person businesses running out of a house to larger ones providing raw mate-

rials and components to Indian and foreign firms that employ in the thousands. So a common solution may not be possible.

Not surprisingly, then, ensuring they have adequate access to formal credit, new technology, and markets, as well as solving the myriad problems entrepreneurs in the sector face, can boost the country's exports and GDP and create a large number of employment opportunities.

In fact, a recent report by the McKinsey Global Institute (MGI) on MSME productivity highlighted that while MSMEs constitute about one-third of India's business economy and generate 62% of employment, they struggle for productivity and are only 26% as productive as large companies (compared with 29% in emerging economies). “Narrowing the gap is equivalent to about 10.5% of India's GDP,” it underlined.

The report, titled ‘A Microscope on Small Businesses’, also revealed that in India, only about 10% of large companies in 2022 were MSMEs at some point after 2000. “Indeed, previous MGI research found that India has a ‘missing middle’ of mid-size companies. MSMEs have faced structural barriers, such as the high cost of compliance and finance, that have tended to constrain their growth,” it said.

Experts and stakeholders have often highlighted many of these issues, and to be fair, the government has also been working on many of them, but arriving at a simple solution in most cases has not been easy. Efforts to formalise MSMEs through the Udyam Portal and the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) have been some of the notable initiatives.

A comprehensive review of the MSME Development Act, 2006, is underway, and it is expected to review the definition of these firms and bring them into sync with current realities. Expectations are that the new government will

BOOSTING PRODUCTIVITY



MSMEs account for nearly 30% of India's business economy and employ 60% of the workforce



Their productivity falls short of that of large companies, which are four times as productive



Narrowing the gap is equivalent of 10.5% of India's GDP, says a McKinsey Global Institute report



But these enterprises face challenges in accessing funding and technology and have high compliance requirements



The government has taken steps to address the credit needs, but more needs to be done